

Unaudited Financial Report (Quarterly)

As on 3rd Quarter (2082.12.30) of Fiscal Year 2082/83

Statement of Financial Position

(In NPR)

Particulars	" This Quarter Ending"	Previous Quarter Ending	Corresponding Previous Quarter Ending
Assets			
Non-Current Assets			
Property, plant and equipment	3,743,255	3,608,946	2,898,910
Intangible assets	1,039,978,675	1,044,722,317	1,076,068,094
Total Non-Current Assets	1,043,721,929	1,048,331,263	1,078,967,003
Current Assets			
Cash and cash equivalents	8,280,806	26,767,285	10,407,003
Other current assets	84,800,606	92,801,747	82,955,836
Total Current Assets	93,081,412	119,569,032	93,362,840
Total Assets	1,136,803,342	1,167,900,295	1,172,329,843
Equity and Liabilities			
Equity			
Equity share capital	802,500,000	802,500,000	802,500,000
Retained Earnings	(97,183,031)	(92,356,819)	(157,081,457)
Total Equity	705,316,969	710,143,181	645,418,543
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Long Term Borrowing	416,933,046	436,933,046	523,786,837
Total Non-Current Liabilities	416,933,046	436,933,046	523,786,837
Current Liabilities			
Short Term Borrowing	12,696,388	17,249,707	-
Provisions		-	-
Other Current Liabilities	1,856,938	3,574,361	3,124,464
Total Current Liabilities	14,553,326	20,824,068	3,124,464
Total Liabilities	431,486,372	457,757,114	526,911,301
Total Equity and Liabilities	1,136,803,342	1,167,900,295	1,172,329,843

Statement of Profit or Loss

Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous Quarter Ending
Revenue	148,618,048	122,747,959	127,924,936
Cost of sales	10,333,309	5,821,156	10,494,345
Gross Profit	138,284,738	116,926,804	117,430,591
Depreciation	712,428	423,067	504,514
Amortization	34,653,424	22,960,930	34,355,046
Employee Benefits Costs	13,078,680	8,957,246	10,746,926
Administrative and Other Operating Expenses	3,952,971	2,787,028	5,165,923
Profit from operation	85,887,237	81,798,533	66,658,183
Other Income	6,156,839	6,113,302	59,625
Finance Costs	29,428,950	20,470,497	36,521,209
Profit Before tax	62,615,126	67,441,338	30,196,599
Income tax Expense	-	-	-
Profit for the period	62,615,126	67,441,338	30,196,599
Other comprehensive gain/ (loss) for the year, net of tax			
Total comprehensive gain/ (loss) for the year, net of tax	62,615,126	67,441,338	30,196,599

NOTES

1) The above mentioned figure are subject to change during statutory audit of the books of accounts.

Third Quarter Disclosure as of 30th Chaitra 2082 (13th April, 2026) as per Securities Registration and Issuance Regulation Annexure 14 (Related to sub-regulation 1 of regulation 26)

1) Financial Statements

- a) The financial statements for the third quarter have been published as a part of this report.
There have been no transactions with the related party.

b) Key Financial Ratios at the end of the quarter:

Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous Quarter Ending
Earnings Per Share (EPS)	7.80	8.40	3.76
Current Ratio	6.40	5.74	29.88
Return on Assets (ROA)	5.51%	5.77%	2.58%
Networth Per Share	87.89	88.49	80.43
Price Earnings Ratio	47.55	45.21	131.62

2. Management Analysis

- a) Any changes in the stock, income and liquidity during the quarter and reason for change, if any:
Revenue from the Sale of Electricity has increased by 16.18% compared to the corresponding previous year's quarter ending. The increase in revenue is due to the favourable hydrological condition this quarter. The net profit for the third quarter end of FY 2082/83 has increased by 107.36% compared to the previous year's quarter ending due to an improvement in revenue, financing cost and administrative cost.

b) The statement of management analysis on the upcoming business plan:
The company management is persistently working on improving internal control system and risk management practices.

c) The analytical statement of the possible effect on company's profitability, stock and cashflow based on the past experience:
The company has maintained steady progress on profitability and there has been no such other incident during the period which might have negative impact on the profit or cash flow of the company.

3. Statement relating to Legal Action

During the period, there were no legal cases raised or pending against the company and from the company.

4. Analysis of the share transaction of the company

- a) During the third quarter, MHCL shares traded actively for 53 days till the end of Chaitra 2082.

b) The highlights of the share transactions during the quarter are as follows:

Maximum Price	412.00	Transaction Days	53
Minimum Price	325.00	Total Shares	1,255,755
Closing Price	371.00	No of transactions	9,791

5. Problems and Challenges

- a) Internal
 - Maintaining operational efficiency
 - Retention and optimization of skilled human resource.
 - Fund management.

b) External
 - Inadequate existing transmission line
 - Low water flow risk in the rivers for hydropower plant/projects
 - Lack of domestic suppliers and vendors for hydropower equipment and spare parts.
 - "Inconsistent regulatory and policy level commitment from the government regulatory agencies in development of hydroelectric projects"
 - Loss due to natural disaster –Flood, Earthquake, force measure issue etc.

c) Strategies
 - Identification of different financial instruments along with risk assessment
 - Development of various internal policies and procedures
 - Lobbying with government authorities for investment friendly environment
 - Implementation of HR optimization plan.

6. Corporate Governance

The Board of Directors are committed to upholding good corporate governance practice in the company through implementation of policies and guidelines for proper functioning of the company. The company has been functioning in compliance with Companies act, 2063 and Corporate Governance Guidelines, 2074 issued by Security Exchange Board of Nepal.

7. Declaration of Chief Executive Officer on Truth, Tactfulness

I, the Chief Executive Officer of this Company, take responsibility for accuracy of the information and details mentioned in this report. I also declare that the information and details mentioned in this report are complete, true, based on facts and the information, details necessary for making informed decision by the investors are not concealed.